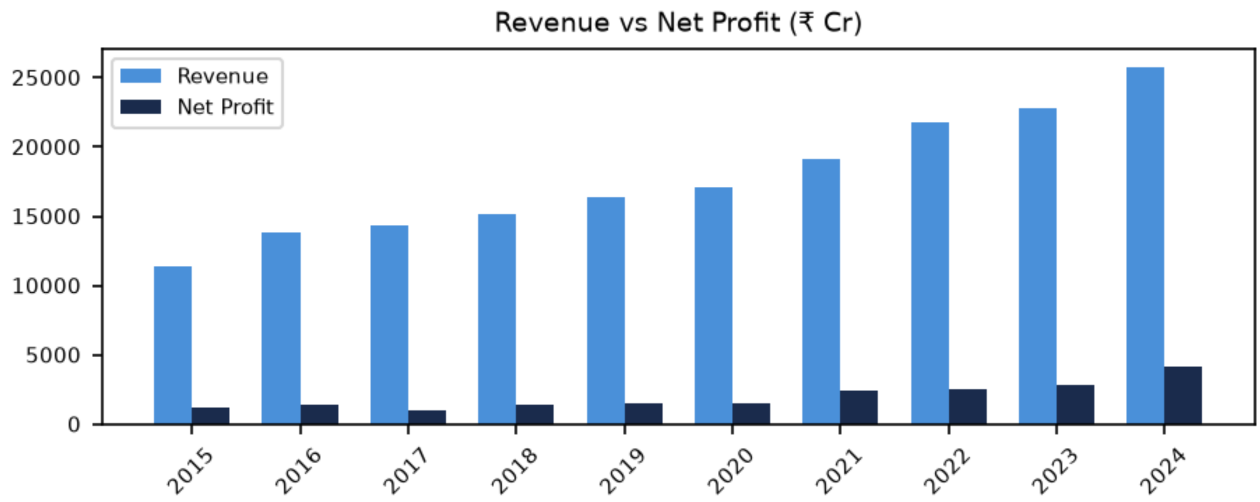
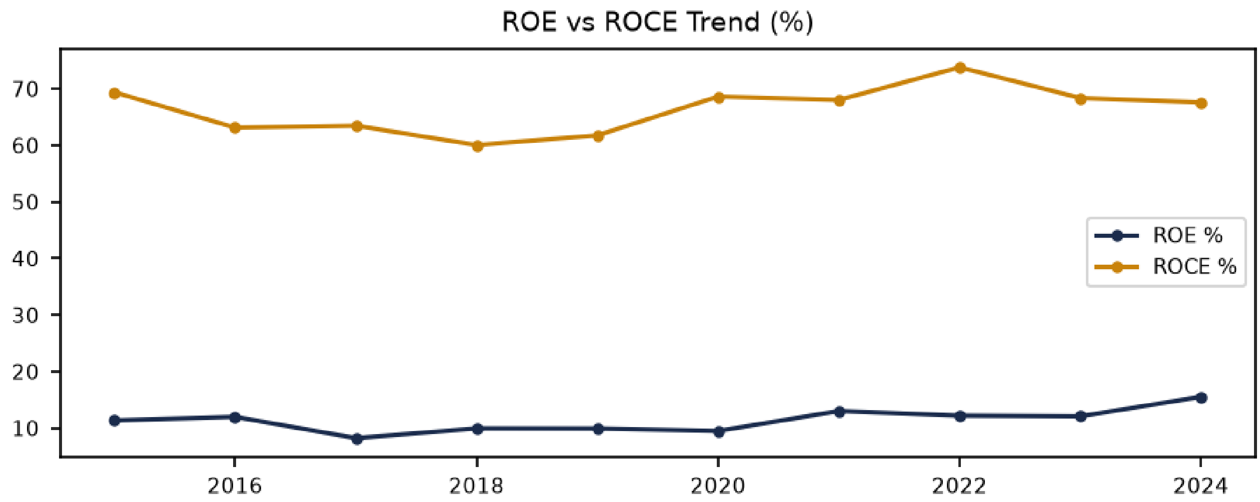
Cipla Ltd

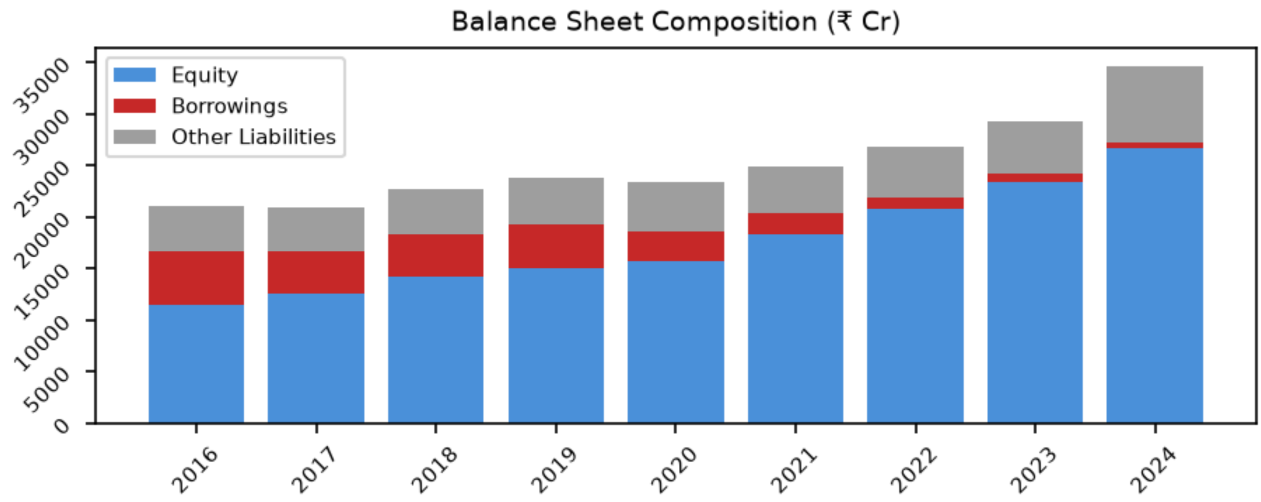
CIPLA · Healthcare

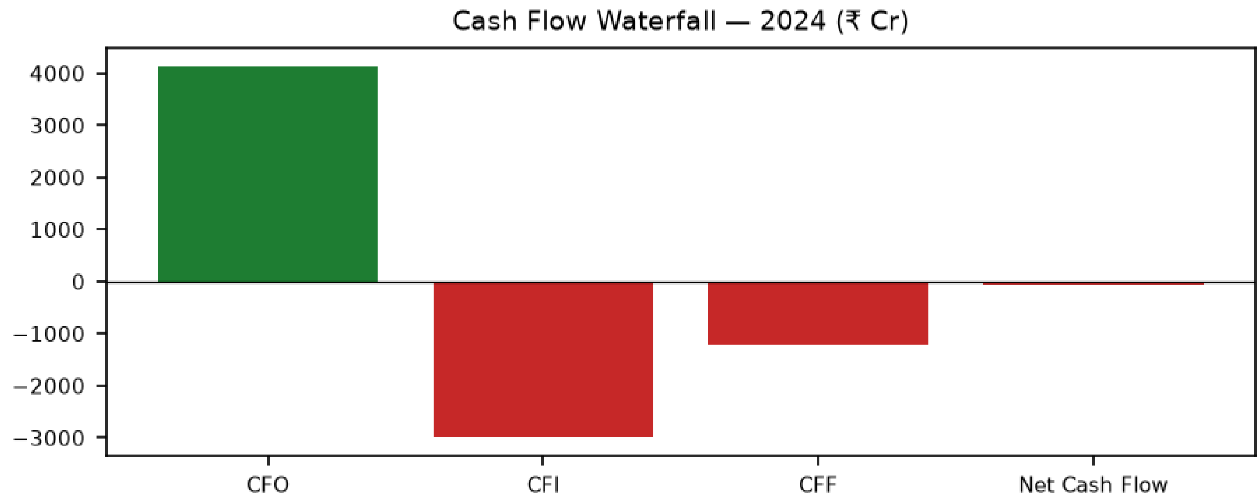
ROE	ROCE	Net Profit Margin
15.6%	67.6%	16.1%

Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
0.02	9.5%	■1,152 Cr









Pros	***Cons***
✓ Strong free cash flow generation over 5 years signals healthy business fundamentals	✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline	
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing	
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits	
✓ Growing asset base funded by internal accruals reflects self-sustaining growth	
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding	

Capital Allocation: Reinvestor